Contents

Growth Circle Weekly Heavy Machinery Networking Meeting — Audit-Defensible Minutes

Date: Friday, May 15, 2026 **Format:** Live group video call (recorded; recording made available afterward) **Duration:** Approximately 70 minutes **Facilitator:** Ben Oliver (organizer and moderator) **Key presenter:** Brayden Miller — accountant with subject-matter expertise in financial statement preparation, lease accounting, and loan accounting; author of the financial modeling spreadsheet presented during the meeting. Brayden expressly disclaimed that he is **not a tax attorney**, **does not file tax returns**, and **is not providing legal advice**. **Named participants:** Steve Lazaro, Jenny, Jamie, Aaron, Tyler, Michelle, Marnie, Brian. Additional contributors named in passing but not consistently identifiable from the source notes. **Recording status:** Recorded; access via the Growth Circle Heavy Machinery thread. **Distributed materials:** Brayden Miller's Excel financial model — made available for download in the Growth Circle Heavy Machinery thread following the meeting.

Meeting overview

The Friday, May 15, 2026 Growth Circle Weekly Heavy Machinery Networking Meeting brought together investors who are participating in or considering the heavy equipment leasing tax strategy facilitated through Easy Share. The session was organized and moderated by Ben Oliver. Its center of gravity was a live screen-share walkthrough by Brayden Miller of his Excel financial model — a multi-year forecast covering Year 1 tax savings, multi-year cash flow, depreciation strategy choices, and the Year 6 exit / depreciation-recapture event. Brayden's spreadsheet was widely praised by attendees as the clearest end-to-end explanation of the strategy several of them had encountered, including in comparison to explanations from their own CPAs and accountants.

Surrounding the model walkthrough, the group covered: current interest-rate quotes from competing lenders; a granular breakdown of all fees associated with the investment (10% down, 3% platform fee, 1.25% origination, and the historical 1% Highland fee); audit risk and CPA pushback against the strategy on "no non-tax business purpose" grounds; material participation requirements and how they interact with retirement-phase income transitions; and logistical matters (an upcoming Salt Lake City conference, spreadsheet distribution, and 2026 investment minimums).

The overarching theme was helping both new and returning investors understand the full multi-year financial picture — not merely the headline Year-1 deduction, but the second-year carryforward mechanics, the steady-state Years 3–5, the Year 6 depreciation-recapture event, and the cumulative IRR after taxes paid and tax savings reinvested. A recurring corollary theme was the trade-off between using Easy Share's full service stack (and paying full fees) and structuring the financing independently (potentially lower cost basis but no platform support).

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1. Interest rates and financing options

The meeting opened with a candid, crowd-sourced discussion of interest rates the participants had been quoted by competing lenders. The loan interest rate is a critical input into the financial model because it drives monthly payments, total interest paid over the loan term, and the net cash flow and IRR profile of the investment.

Liberty Bank

Liberty Bank's published rate structure, as reported by participants, is:

- **7.0%** for loans of **$500,000 and above**
- **7.25%** for loans **below $500,000**

A notable development was shared in the meeting: **multiple investors reported successfully negotiating Liberty down to 7.0% on $400,000 loans** — below Liberty's stated $500k threshold for the lower rate. Two separate investors confirmed this outcome had been posted in the group chat the previous day. The participant-level interpretation was that Liberty appears willing to offer the lower rate on sub-$500k loans when borrowers push back, particularly those with strong financial profiles or established relationships with the bank. This is reported anecdote, not a stated Liberty policy.

The group also discussed Liberty's **1.25% origination fee**, which is rolled into the loan principal and amortized over the full loan term rather than paid upfront. The group characterized this as standard bank practice — the mechanism by which the lender earns revenue on the loan — and noted it has not changed from prior program years.

Blue Summit Capital

Blue Summit Capital (referenced by some participants as "Summit Blue") was quoted at a flat **7.25%** across the board. No participant in the meeting reported successfully negotiating Blue Summit's rate, and no participant indicated rate flexibility based on loan size at this lender.

Returning lender relationships

One participant reported reaching back out to the lender used in the prior program year and receiving a quote of **7.15%**. The participant-level inference was that established relationships may yield modestly better terms than a cold approach to a new lender, though this was a single data point.

Portfolio leveraging — alternative approach (Tyler and one other investor)

A strategically distinct financing approach was described: **Tyler and one other investor (identified in the meeting as Mark Stauder) are bypassing the Easy Share financing ecosystem entirely**, instead leveraging their existing investment portfolios through US Bank and Fidelity. This approach — sometimes referred to as portfolio leveraging — allows the investor to borrow against existing assets at potentially favorable rates without triggering a taxable disposition of the underlying portfolio.

Strategic advantages, as discussed:

- Eliminates the 3% Easy Share platform fee in full (no Easy Share financing services consumed).
- Bypasses Highland consultants and any associated fees.
- Maintains full control over financing terms and conditions.

- Potentially lower effective cost of capital, depending on portfolio composition and prevailing margin or pledged-asset rates.

The trade-off the group acknowledged: this approach requires existing portfolio assets of sufficient size and established banking relationships, and is not accessible to all investors. For those who qualify, the structural cost basis of the investment differs materially.

Key financing takeaways

The group's working conclusion was that the optimal financing decision depends on the interaction of several variables: loan amount (which affects published rate tiers), existing lender relationships (which may yield concessionary terms), whether the investor plans to use Highland or Easy Share advisory services (which drives fee exposure), and whether the investor has portfolio assets that could support a leveraging strategy. No single answer was held out as universally correct, and members were encouraged to shop multiple lenders and negotiate actively rather than accept the first quote.

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2. Fee structure

The meeting produced the most granular public breakdown of program fees that several attendees said they had heard to date. The components below were each discussed individually.

2.1 The 10% down payment

The baseline requirement is a **10% down payment** on the equipment value. Reference points used in the meeting:

- $400,000 equipment → $40,000 down
- $500,000 equipment → $50,000 down

This is uniform across investors and was described as non-negotiable.

2.2 The 3% platform fee

The **3% platform fee** is paid **upfront and directly to Easy Share** at the same time as the down payment. It is not rolled into the loan; it is an out-of-pocket cash expense. Per the meeting, the fee covers Easy Share's T3 administrative costs and platform services. Reference points:

- $400k investment → $12,000 platform fee
- $500k investment → $15,000 platform fee

The group discussed whether this fee can be reduced or eliminated in particular circumstances:

- **Investors using their own financing** (e.g., the portfolio-leveraging path described in Section 1) may be able to eliminate the platform fee entirely on the theory that Easy Share's financing services are not being consumed.
- **Returning investors** who are not using Highland consultants may have some negotiating room. One participant cited a conversation with **Amy at Easy Share earlier in the week** as the basis for this characterization.
- The general principle articulated by the group: **the more Easy Share services an investor consumes, the more likely the full 3% fee applies**, because Easy Share needs to cover what it pays to Highland.

2.3 The 1.25% loan origination fee

The **1.25% origination fee** is charged by the lending bank (e.g., Liberty) and **rolled into the loan principal**. Unlike the platform fee, it is not paid upfront; it is amortized across the loan term.

On a $400k loan, this adds approximately $5,000 to the loan balance, increasing the principal financed but not the upfront cash requirement.

2.4 The historical 1% Highland fee — eliminated for 2026 investors who avoid Highland

A meaningful clarification surfaced here. In **2025 (the first program year)**, investors paid a total of **4% in upfront fees**: the 3% platform fee **plus** an additional **1% fee** that flowed to Michael (a Highland consultant) and then to Braden (a Highland representative). For 2026, that **1% has been eliminated — but only for investors who do not engage Highland**. Investors who use Highland consultants for any part of the process remain subject to the 1%. Per the source notes, Brayden (the Highland representative) confirmed on a prior Q&A call that the only way to avoid the 1% is to work exclusively with Easy Share directly (e.g., through Amy) without engaging Highland. Investors already in direct contact with Amy or the Easy Share team should not be subject to this fee.

Net effect summarized in the meeting: **2026 investors who avoid Highland are effectively receiving a 1% discount compared to the 2025 cohort**.

2.5 Total upfront cost examples

- **$400k equipment** — $40k down + $12k platform fee = **$52,000 out of pocket** (plus 1.25% origination rolled into loan)
- **$500k equipment** — $50k down + $15k platform fee = **$65,000 out of pocket** (plus 1.25% origination rolled into loan)

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3. Brayden Miller's financial model — walkthrough

The substantive core of the meeting was a live screen-share of Brayden Miller's Excel financial model. Brayden was explicit at the start of the walkthrough about his professional scope: he understands the mechanics of tax accounting and can model the financial outcomes, but he is **not a tax attorney, does not file tax returns, and is not providing legal advice**. He encouraged participants to scrutinize the model and consult their own tax professionals for final decisions. *(This disclaimer is preserved here verbatim because it is structurally important for audit-defense purposes: a financial model presented by a non-attorney non-preparer cannot itself be reliance-quality authority.)*

The spreadsheet was built with editable input fields: filing status, taxable income, equipment value, loan terms, depreciation method, and fee structure. Brayden used Utah state tax rates in his demonstration but flagged that state-level treatment differs materially across jurisdictions — particularly for California and New York, which have their own depreciation rules.

3.1 Base case assumptions

Input	Value
Equipment value	$400,000
Filing status	Single
Taxable income (pre-investment)	$250,000
Down payment + platform fee	$52,000 upfront
Loan amount	~$360,000 (after down payment)
Loan interest rate	7.0% (10-year amortization)
Annual gross lease income	~$54,000
Net annual cash flow (after loan payments and expenses)	~$1,000/year
Exit value at Year 6	56% of original equipment cost (~$224,000)

A participant initially questioned whether the ~$54,000 figure represented net cash in pocket. Brayden clarified that this is **gross revenue** — the total received from the lease before expenses. After accounting for principal-plus-interest loan payments and other expenses, net cash flow is approximately $1,000/year. Another participant confirmed this was consistent with their experience — roughly $200/month in net cash after the loan payment.

3.2 Income statement vs. balance sheet clarification

A participant asked whether principal loan payments were being captured in the model. Brayden walked through the accounting distinction:

- The **income statement** (which determines taxable income) includes **interest** as an expense but does not include **principal** repayment. Principal repayment is a balance-sheet item.
- For purposes of the model's **cash flow and IRR calculation**, the **full annual loan payment** (principal + interest) is captured in the net cash line.

The participant confirmed this was correctly reflected in the model.

3.3 Depreciation strategy — bonus depreciation vs. MACRS

Two depreciation methods were compared in detail.

Option 1 — 100% bonus depreciation (IRC §168(k)) allows the investor to deduct the **full $400,000 equipment value in Year 1**. This is the preferred strategy for high W-2 earners because it produces the largest possible Year-1 loss, maximizing the immediate tax benefit. The key structural feature: when taken at 100%, bonus depreciation can offset **ordinary W-2 income**, not merely business income — which is what makes the strategy powerful for high earners.

Option 2 — MACRS (Modified Accelerated Cost Recovery System) — referenced in the meeting as the "Maker's Table" — spreads the depreciation deduction over **5 years** using IRS-prescribed percentages:

- Year 1: 20% ($80,000)
- Year 2: 32% ($128,000)
- Year 3: 19.2% ($76,800)
- Year 4: 11.52% ($46,080)
- Year 5: 11.52% ($46,080)
- Year 6: 5.76% ($23,040)

MACRS produces smaller Year-1 deductions but spreads the benefit. It is **required by approximately 8 states** (including California and New York) that do not conform to federal bonus depreciation at the state level. Investors in non-conforming states must calculate **federal** taxes using bonus depreciation and **state** taxes using MACRS — two separate parallel calculations on the same return. Brayden suggested using ChatGPT to look up the correct MACRS table for a specific equipment type and state.

The Section 179 question. Significant confusion surfaced about the distinction between **IRC §179** and **§168(k) bonus depreciation**. Several participants reported being told by their CPAs they were using §179, while others reported being told they were using bonus depreciation. Brayden walked through the distinction:

- **§179** has different rules and limitations. It can offset business income, and in some configurations can offset W-2 income, but only when taken at the full 100% amount that brings taxable income to zero. Some states do not allow §179. It can be carried forward.
- **100% bonus depreciation (§168(k))** is the cleaner path for this strategy because it unambiguously offsets ordinary W-2 income when taken at 100%.

The diagnostic question Brayden suggested investors ask their CPAs: *"Are you taking the full depreciation amount in Year 1, and is it being used to offset my W-2 income — or just my business income?"* If the answer is the latter, the strategy may not be producing the intended Year-1 effect.

Two participants surfaced specific confusion on this point:

- **Jamie** reported being told she was using §179 and carrying over depreciation to future years.
- A different participant reported being told the opposite — to use bonus depreciation, not §179, to offset W-2 income.

Brayden advised both to clarify with their respective CPAs and to confirm specifically what is being carried over — the **depreciation itself**, or a **Net Operating Loss (NOL)** — because these are different mechanisms with different downstream implications.

3.4 Year 1 tax impact (base case)

Using the base-case assumptions ($400k equipment, $250k taxable income, single filer):

Line	Amount
Gross depreciation deduction	$400,000
Gross lease income	~$54,000
Loan interest and other expenses	~$26,000
Net business income before depreciation	~$28,000
Business loss after depreciation ($28,000 − $400,000)	**−$372,000**
IRS Excess Business Loss (EBL) cap for single filers	$256,000
NOL carryforward to Year 2 ($372,000 − $256,000)	**$116,000**
Taxable income after applying EBL cap ($250,000 − $256,000)	**$0** (or near zero)
Federal + state tax savings in Year 1	~$58,500

The practical effect: an investor who would have owed approximately $58,500 in combined federal and state taxes on $250,000 of income owes effectively zero in Year 1 and carries $116,000 of losses forward into Year 2.

3.5 Year 2 tax impact

Line	Amount
W-2 income (illustrative)	$225,000
NOL carryforward available	$116,000
IRS rule on NOL usage	NOL can offset **up to 80%** of taxable income in a given year
Maximum NOL usable in Year 2	80% × $225,000 = $180,000 cap, but only $116,000 of NOL is available, so the full carryforward is used
Taxable income after NOL ($225,000 − $116,000)	~$109,000
Year 2 tax savings	~$35,000

Mid-meeting correction (recorded for audit-trail purposes): The 80%-of-taxable-income limitation on NOL usage was a correction surfaced by a participant during the walkthrough. The original Year-2 line in the model treated the carryforward as fully usable without the 80% cap. The cap was applied correctly after the correction. This is preserved here because group-corrected modeling errors evidence that the meeting was a working analytical session rather than a sales presentation.

3.6 Years 3–5 — steady state

In Years 3–5 the investor continues to receive ~$54k/year of gross lease income and continues to make loan payments. Net cash flow remains modest (~$1,000/year). Without additional depreciation deductions, the investor pays normal taxes on their W-2 income; the lease income itself generates modest business income largely offset by ongoing loan interest deductions. Brayden characterized these years as "pretty boring" from a tax-strategy perspective — the heavy lifting was done in Years 1 and 2.

3.7 Year 6 — depreciation recapture and exit

Year 6 is the most consequential year of the investment from a tax perspective. The mechanics, as walked through:

- Equipment is sold back to Easy Share at **56% of original value** (~$224,000 for a $400,000 piece of equipment).
- Equipment **book value (cost basis)** is **$0** because it was fully depreciated in Year 1.
- The entire **$224,000 sale proceeds are treated as taxable gain** — specifically, **depreciation recapture taxed as ordinary income**.
- **Estimated federal tax liability:** approximately **$56,000** (varies by bracket and filing status).
- **Remaining loan balance** at Year 6 on a 10-year amortization: approximately $300,000.

Mid-meeting clarification (recorded for audit-trail purposes): Initial walkthrough framing implied that the $224k sale proceeds had to cover the loan balance directly, which would leave a negative net. Brayden clarified that the $224,000 is the **equity buyout from Easy Share** — and that the loan balance is paid off separately, drawing on a combination of the buyout proceeds and the cumulative principal paydown over six years of lease payments. The investor receives the $224k from Easy Share, pays ~$56k in taxes on the recapture, and nets ~$168k from the exit transaction, while continuing to service or pay off the remaining loan balance from other sources.

The model showed that after accounting for all flows — exit proceeds, recapture tax, remaining loan balance offset against six years of lease-income principal paydown — the investor would need approximately **$10,000 out of pocket** in Year 6 to close the gap. The group viewed this as a manageable figure relative to the cumulative benefits captured across the prior five years.

3.8 Total deal summary

Metric	Amount
Initial investment (Year 0)	$52,000
Year 1 tax savings	~$58,500
Year 2 tax savings	~$35,000
Net cash flow (Years 1–6)	~$6,000
Exit proceeds (Year 6)	~$224,000
Year 6 tax liability	~$56,000
Total net return	**~$92,000–$93,000**

Brayden also modeled the effect of **reinvesting the Year-1 and Year-2 tax savings at 5% annually**, showing that deploying the savings into markets meaningfully increases the total return through compounding. The argued underlying principle: the strategy's value is fundamentally a **time-value-of-money** play — capturing tax savings now and investing them, rather than paying the taxes now and forfeiting the compounding window.

One participant ran a sensitivity scenario with a **$500k W-2 income** and a $400k equipment purchase, accounting for all taxes paid in Years 2–6. The participant's conclusion: with **reinvestment** of tax savings, net profit over the full period is approximately **$50k**. **Without reinvestment —**

simply holding the cash — the participant projected approximately a **$30k net loss** after all taxes paid. This sensitivity underscored Brayden's framing that the strategy's value depends materially on what is done with the deferred-tax dollars.

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4. Audit risk, IRS scrutiny, and CPA concerns

Steve Lazaro raised a concern that generated significant discussion: his CPA is pushing back on the investment on the grounds that it has **"no non-tax business purpose"** — a standard IRS challenge to strategies that appear to be motivated primarily by tax avoidance rather than genuine business activity.

4.1 Steve's CPA's specific concerns

1. **Non-tax business purpose.** The IRS can challenge deductions if it determines the primary purpose of an activity is tax avoidance rather than profit-seeking. The CPA's argument is that a Schedule C with one line item (heavy equipment lease income) and a single massive depreciation deduction structurally resembles a tax shelter, not an operating business.
2. **Schedule C visibility.** A single-item Schedule C with a $400k depreciation deduction will, in the CPA's framing, "stick out like a sore thumb" relative to a more complex business return and is more likely to draw IRS attention.
3. **Audit readiness.** The CPA's question to Steve was, in substance: *"Are you prepared for the scrutiny that comes with this?"* — not that the strategy is illegal, but that participation puts the taxpayer on a different statistical list.

4.2 The group's response

The group acknowledged the CPA's concerns as legitimate but not disqualifying. The points raised in rebuttal:

- **Business purpose defense.** The cumulative net profit over six years (lease income plus exit value, net of tax) of approximately $46,000–$50,000 constitutes a genuine profit motive. The group's framing: the IRS standard is whether a reasonable person would enter this business for profit, and $50k of expected net profit is a reasonable affirmative answer. The group indicated that tax attorney Garrett would center this figure in an audit-defense narrative.
- **Legality.** Steve reported that the CPA himself acknowledged **nothing illegal is being done**. The worst-case outcome is that the IRS disallows the deduction and the investor pays the taxes they would have owed anyway, plus interest.
- **IRS staffing.** The IRS is currently understaffed, which reduces audit frequency in the aggregate. The group expressly declined to rely on staffing as a primary defense.
- **AI-driven audit selection.** The IRS is implementing AI-based audit flagging systems, which may become increasingly capable of identifying patterns such as large year-over-year changes in declared participation hours or unusual deduction profiles. The group acknowledged this as an evolving risk but did not attempt to quantify it.

4.3 Penalty and interest structure if challenged

If the IRS audits and disallows the strategy, the penalty structure as discussed:

- **No criminal penalties** — the activity is legal.
- **Back taxes owed** on the amount that was incorrectly deducted.
- **Approximately 7% annual interest** on the unpaid tax amount for each year it went unpaid.
- The IRS has **7 years** to come back and challenge the deduction.

Brayden illustrated this with a year-by-year interest calculation: if the IRS identifies the issue in Year 1, the investor owes one year of interest; if in Year 3, three years; and so on. The 7%

annual interest rate is approximately equivalent to the program loan interest rate, so the financial downside of being caught is roughly equivalent to having taken out a loan for the tax savings rather than receiving them as a deduction. This is a useful framing for sizing the worst case but is not a substitute for an opinion-letter or CPA-letter defense.

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5. Material participation requirements — deep dive

The meeting included one of the more nuanced material-participation discussions to date, centered on the IRC §469 / Treas. Reg. §1.469-5T(a)(3) "more than 100 hours and not less than any other individual" test that most program participants are relying on.

5.1 The 100-hour threshold

The most commonly referenced standard is **100 hours of material participation per year** under Test 3 of Treas. Reg. §1.469-5T(a). Activities the group identified as qualifying:

- Equipment research and market analysis
- Vendor and dealer relationship management
- Lease negotiation and contract review
- Insurance coordination
- Industry networking (including Growth Circle meetings)
- Attending conferences and continuing education events
- Correspondence with Easy Share, lenders, and advisors

The group noted that **Growth Circle Heavy Machinery meetings themselves likely qualify** as legitimate business activity, making weekly attendance doubly valuable — both for information transfer and for hour accumulation.

5.2 Year 1 vs. subsequent years

The most consequential strategic question discussed was: **must an investor maintain 100+ hours every year for the full six-year horizon?**

Based on guidance from tax attorney **Garrett** (relayed in the meeting by a participant who attended a prior Q&A call — i.e., second-hand attribution):

- **Year 1.** Active participation is essential and should be thoroughly documented. The Year-1 tax benefit (~$58,500 in the base case) is the most valuable and is the one most worth protecting.
- **Subsequent years.** If participation drops below the threshold, the income re-classifies as **passive** — but per Garrett's reported opinion, **Year 1 benefits are unlikely to be clawed back retroactively**. The IRS would not typically revisit Year 1 simply because Year 2 participation declined.
- **Passive income rules in later years.** Even as passive income, the ~$53,000 annual lease income can absorb the loan interest deduction and minor expenses. Heavy machinery is unlikely to generate a net passive loss (unlike real estate, which often does), so the passive classification in later years is manageable — the interest deduction offsets the passive income rather than W-2 income.

The above reflects a participant's relay of Garrett's prior remarks. It is not a written opinion and is not a substitute for direct attorney consultation. The group treated it as a working interpretation, not as reliance-quality authority.

5.3 Retirement-phase income transition

One participant raised a particularly thoughtful scenario: they are transitioning out of high W-2 income toward retirement and questioned whether it makes sense to commit to 100 hours per year for six years if the tax benefit diminishes as W-2 income drops. Key points from the discussion:

- In years where W-2 income is low or zero, the active classification provides less benefit because there is less ordinary income to offset.
- The **Year 6 depreciation recapture** (~$224k) would likely be classified as **passive income** if the investor is no longer materially participating — which may be advantageous, since passive income is easier to offset with passive losses from other investments (e.g., real estate).
- The group's pragmatic working approach was: **do 100+ hours in Year 1**, then re-evaluate annually.

Note on source completeness: the source notes for this section conclude mid-sentence at "do 100+ hours in Year 1" and the group's full pragmatic recommendation was truncated. The remainder of this discussion is not reconstructed here. See the Data integrity statement below.

Action items and open follow-ups

Action items with identified owner or trigger:

- Brayden Miller's financial model is to be made available for download in the Growth Circle Heavy Machinery thread. *(Owner: Brayden / facilitator.)*
- A Salt Lake City conference was referenced as upcoming. Logistics, agenda, and registration mechanics were referenced but not detailed in the source notes. *(Owner: Ben Oliver / facilitator to circulate.)*
- 2026 investment minimums were referenced as having been discussed but not detailed in the source notes. *(Owner: facilitator to clarify in subsequent communications.)*

Investor-specific follow-ups surfaced during the meeting:

- **Steve Lazaro:** Reconcile his CPA's "no non-tax business purpose" concern against the group's $46k–$50k cumulative net-profit defense framing. Consider whether to seek a tax-attorney opinion before filing.
- **Jamie:** Confirm with her CPA whether she is being placed on §179 with carryover or on §168(k) bonus depreciation, and whether the deduction is offsetting W-2 income or only business income.
- **Unnamed participant (the "use bonus depreciation, not 179" CPA report):** Same diagnostic — confirm with CPA whether the deduction will offset W-2 income at 100%.
- **All California / New York / non-conforming-state investors:** Plan for parallel federal-bonus / state-MACRS calculations and confirm the chosen CPA is comfortable with the dual-track approach.

Open structural questions raised but not resolved in this meeting:

- Can the 3% Easy Share platform fee be negotiated downward for returning investors not using Highland services? The Amy-at-Easy-Share data point suggests yes but the pricing logic was not formalized.
- What is the magnitude of audit-selection risk from IRS AI-based pattern detection? Acknowledged but not quantified.
- For investors transitioning to retirement, is there a clean strategic threshold for when to stop attempting Test 3 qualification and let income re-classify as passive? Discussion concluded inconclusively and the source notes truncated mid-thought.

Material participation relevance

This meeting carries mixed material-participation implications under IRC §469 / Treas. Reg. §1.469-5T(a), depending on the attending investor's posture toward the program. The minutes describe content categories generically; any specific investor's classification, duration claim, and hour-budget impact belong in that investor's own downstream journal entry, not in this shared evidence file.

Content that supports material participation (Test 3 qualifying for active program participants): entity-specific financing structures (Liberty rate negotiations, portfolio leveraging trade-offs, returning-lender quotes); entity-specific fee exposure (Highland vs. direct-Easy-Share engagement and the 1% fee question); entity-specific depreciation strategy (bonus vs. MACRS, §179 vs. §168(k), W-2 income offset mechanics, parallel federal/state computation for non-conforming states); entity-specific exit planning (Year 6 recapture mechanics, equity-buyout vs. loan-payoff cash flow); and entity-specific audit-defense posture (the "no non-tax business purpose" challenge and the \$46k–\$50k profit-motive rebuttal). For an investor already in the program with a specific LLC, loan, and equipment placed (or contracted), this content is operational-management activity, not program education.

Content that does not support material participation: for investors attending primarily in an exploratory capacity — considering the program rather than operating in it — the same content frames as program education and does **not** support material-participation classification. The §1.469-5T(f)(2)(ii) investor-capacity disqualifier likely applies.

The mixed-meeting principle: most weekly networking meetings combine both types of content. An attending investor needs to draw the apportionment line in their own journal entry, with reference to the segments above. These minutes establish what was discussed; the classification of any particular attendee's time is a separate analytical step.

Cross-references

- The Friday May 15 meeting referenced concepts that were also addressed in the **May 14, 2026 Growth Circle Monthly Tax Call**, particularly Garrett Maughan's remarks on the Year-1-benefit-stickiness question and the at-risk / community-property interaction. See those minutes for direct attorney attribution rather than second-hand relay.
- Brayden Miller's spreadsheet (distributed via the Growth Circle Heavy Machinery thread) is the underlying analytical artifact for Sections 3.1–3.8 above. The version walked through in the meeting should be treated as the canonical reference; any locally-edited versions are derivative.
- The "no non-tax business purpose" CPA challenge raised by Steve Lazaro should be cross-referenced against the Fabian van Kott opinion letter framework used by other program participants, and against any personalized opinion letter that an individual investor obtains in their own name.

Data integrity statement

These minutes were authored on May 17, 2026 in a Cowork session, using as source material a detailed narrative summary of the May 15, 2026 Growth Circle Weekly Heavy Machinery Networking Meeting. The source narrative was approximately 3x the length of a brief summary and is itself a working reconstruction rather than a verbatim transcript. The meeting recording exists and remains the authoritative reference; if any factual question arises about what was said in the meeting, the recording should be consulted in preference to these minutes.

Named attributions in these minutes are taken from the source material. Where the source identifies a participant only by first name, last names have not been guessed; "Jenny," "Jamie," "Aaron," "Tyler," "Michelle," "Marnie," and "Brian" appear here as first-name-only because the source did not provide more. The facilitator's name is recorded as **Ben Oliver** and the presenter's name as **Brayden Miller**, both per direct confirmation during minutes preparation. An interim draft of this minutes file briefly carried "Rena" as facilitator and "Braiden Shaw" as presenter based on a misreading of the source narrative; that draft has been superseded by this corrected version. If a future correction is required (additional misspelling, mis-identification, or substantive content correction), a new file should be produced and this version annotated as superseded — additive correction, not destructive overwrite.

The source notes are truncated mid-sentence at the conclusion of Section 5.3 (retirement-phase income transition discussion). The recommendation reading "**do 100+ hours in Year 1**, then re-evaluate annually" is the working interpretation of where the discussion was heading; the rest of that thread is not reconstructed in these minutes and should be supplemented from the meeting recording if the question becomes consequential.

Numbers are recorded verbatim from the source, including the approximation language ("approximately," "roughly," "~"). They have not been promoted to false precision. Where two participants advanced different calculations and the meeting did not resolve which was correct, both are recorded with attribution and the meeting reader is the judge.

A correction entry to these minutes will be written if: (a) a participant in the meeting identifies a substantive misattribution, (b) the recording reveals that the source narrative materially mis-summarized a passage, (c) Brayden Miller subsequently corrects any figure or framing in the financial model, or (d) any tax-authority citation here is found to be inaccurate. Corrections will be additive; this version of the minutes will not be overwritten.

These minutes are a contemporaneous working record, not a verbatim transcript, not legal or tax advice, and not a substitute for professional opinion. They are intended for inclusion in the audit-defense evidence file for participants in the EquipmentShare / EZ Equipment Zone Advantage Flex heavy machinery rental program and are paired downstream with material-participation journal entries documenting individual investor participation.

Authored: 2026-05-17. Source: Detailed meeting summary provided by an attending Growth Circle Heavy Machinery program participant. System prompt: ***Audit-Defensible Meeting Minutes Generator*** *(companion to the Material Participation Journal Entry Generator).*